Annual Report

Fiscal Year 2026

ACME INDUSTRIES — INVESTOR RELATIONS

2026-05-01

Contents

Letter from the CEO

To our shareholders, customers, and colleagues,

Fiscal year 2026 was a year of disciplined execution against an ambitious strategy. We grew revenue across all three operating segments, expanded operating margin by 140 basis points, and returned a record amount of capital to shareholders while continuing to invest in research, talent, and resilience.

Our results reflect choices we made years ago: to focus the portfolio, to industrialise our software platform, and to build the kind of supply chain that performs as well in turbulence as it does in calm waters. Those choices are now compounding. They are also what gives us the confidence to enter 2027 with a sharper set of priorities and a higher bar for what “good” looks like.

I want to thank every employee of Acme Industries for the work behind these numbers. Reports are written in spreadsheets, but companies are built in conversations, hand-offs, and the small acts of care that never make a press release.

Margaret Chen
Chair & Chief Executive Officer

Executive summary

Acme Industries delivered another year of broad-based growth in fiscal 2026. Total revenue reached **USD 2.41 billion**, up 11.3% year over year, with double-digit growth in our Industrial and Consumer segments and a return to growth in Services after two years of portfolio rationalisation.

Operating margin expanded to **18.7%**, a 140 basis point improvement driven by mix, pricing discipline, and structural cost actions completed in the first half of the year. Free cash flow conversion remained above 95% of net income.

We deployed capital across three priorities: organic investment in R&D and capacity, bolt-on acquisitions in adjacent categories, and direct returns to shareholders via dividends and buybacks. We exited the year with **USD 612 million** in net cash and an undrawn revolving credit facility, leaving us well positioned to act on opportunity.

Looking ahead, we expect revenue growth in the high single digits and continued margin expansion, supported by the platform investments described in this report.

Highlights at a glance

- Revenue up 11.3% to USD 2.41B
- Operating margin 18.7% (+140 bps)
- Free cash flow USD 423M (96% conversion)
- Dividend raised for the 14th consecutive year
- Two bolt-on acquisitions closed in H2

1. Company overview

Acme Industries is a diversified industrial and consumer technology company headquartered in Pittsburgh, Pennsylvania. Founded in 1962 as a precision components supplier, the company today operates three reporting segments across more than 40 countries.

Our segments

The **Industrial** segment supplies motion-control, sensing, and fluid-handling components to original equipment manufacturers in the aerospace, defence, medical-device, and automation sectors. It is our largest segment by revenue and has historically generated the highest operating margins.

The **Consumer** segment designs and markets a portfolio of premium home and workshop products under the Acme, Vance, and Northrise brands. It has been the fastest-growing segment over the past three years, benefiting from the integration of the Vance acquisition completed in fiscal 2024.

The **Services** segment provides field engineering, calibration, and managed maintenance contracts, primarily to customers of the Industrial segment. After two years of portfolio pruning, Services returned to modest growth in 2026 and now operates at structurally higher margins.

Where we operate

We employ approximately **11,400 people** across 26 manufacturing sites, 4 R&D centres, and a network of regional service hubs. North America remains our largest end market at 54% of revenue, followed by EMEA at 28% and Asia-Pacific at 18%. Asia-Pacific has been the fastest growing region for three consecutive years.

2. Financial highlights

The table below summarises selected income statement and cash flow measures for the past three fiscal years. All figures are in millions of US dollars unless otherwise noted.

Measure	FY2024	FY2025	FY2026
Revenue	1,914.0	2,166.5	2,411.2
Gross profit	788.7	906.5	1,036.8
Gross margin	41.2%	41.8%	43.0%
Operating income	317.7	374.8	451.0
Operating margin	16.6%	17.3%	18.7%
Net income	236.1	282.5	341.2
Free cash flow	219.4	267.9	323.0
Diluted EPS (USD)	2.51	3.04	3.71
Dividends per share (USD)	0.92	1.04	1.18

Revenue by segment

Revenue growth in 2026 was broad-based, with all three segments contributing. Industrial benefited from continued strength in aerospace and a recovery in factory automation orders. Consumer posted another year of double-digit growth, helped by category expansion and successful new product launches under the Vance brand. Services returned to growth as the portfolio-pruning programme concluded in the first half.

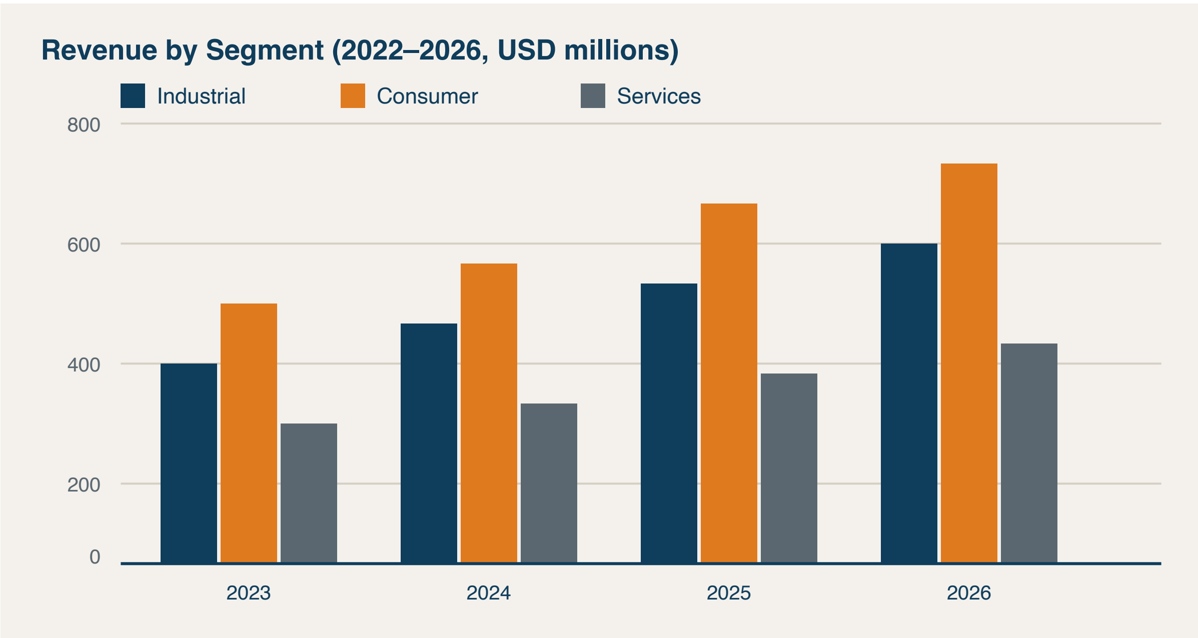

Figure 1. Revenue by segment, fiscal 2023–2026 (USD millions).

Capital allocation

We returned **USD 287 million** to shareholders during the year, split between dividends (USD 108M) and share repurchases (USD 179M). Capital expenditure rose to USD 142M as we completed the expansion of our Querétaro and Wrocław facilities and broke ground on a new R&D campus near Pittsburgh.

3. Operational performance

Operationally, fiscal 2026 was defined by three themes: throughput, quality, and energy. We exited the year with our highest plant throughput on record, a 22% year-over-year reduction in field defects, and energy intensity per unit of output 8% below the 2025 baseline.

Throughput and quality

Our continuous improvement programme, *One Acme Operating System*, entered its third full year of deployment. Sites at advanced maturity levels delivered overall equipment effectiveness above 82%, well above the industrial benchmark. We continue to roll the programme out to recently acquired sites and expect to complete the first wave by the end of fiscal 2027.

Resilience

We expanded dual-sourcing on 38 additional critical components during the year and qualified two new suppliers in geographies where we had previously been single-sourced. Inventory days remain elevated relative to the pre-2022 baseline, a deliberate choice we expect to maintain until end-market volatility normalises.

Sustainability

Scope 1 and Scope 2 emissions declined 6% year over year on an absolute basis, with the largest contributions coming from on-site solar at our Querétaro facility and the switch to renewable power contracts in Poland and Ireland. We remain on track for our 2030 commitments and will publish a full sustainability report in the third quarter.

4. Strategic initiatives

Our 2025 strategic plan identified four medium-term priorities. We made measurable progress on each during the year.

1. **Platformise the portfolio.** We completed the migration of all Industrial product lines to the common digital platform launched in 2024. Software-attached revenue grew 34% and now represents 9% of segment revenue.
2. **Win in adjacencies.** We closed two bolt-on acquisitions during the year — Helix Sensing in Q3 and Northrise Workshop in Q4 — both at multiples consistent with our disciplined framework.
3. **Industrial-grade software.** We doubled the R&D budget allocated to embedded software and now have engineering teams in four locations contributing to the shared platform.
4. **Talent and culture.** Voluntary attrition fell to 7.4%, the lowest level in seven years. We continued to invest in apprenticeships and added 240 entry-level engineers and technicians.

A note on acquisitions

Both acquisitions completed during the year were sourced through relationships our segment teams had built over multiple years. We continue to prefer this kind of patient, relationship-led sourcing over auction processes, and we believe it remains a structural advantage of the way we work.

5. Risk and outlook

The macro environment entering fiscal 2027 is more constructive than it was a year ago, but it is not without risk. We continue to plan for a range of outcomes and to stress-test our cost structure against scenarios with materially weaker end-market demand.

Principal risks

The principal risks to our 2027 plan include: a deeper-than-expected slowdown in industrial capex; renewed disruption in component supply chains; foreign exchange volatility in our larger non-USD markets; and slower-than-anticipated integration of our two recent acquisitions. Mitigation plans for each are reviewed quarterly by the board.

Outlook for fiscal 2027

For fiscal 2027 we expect:

- Revenue growth in the high single digits on an organic basis, with acquisitions contributing 2 to 3 percentage points of additional growth;
- Continued operating margin expansion of 50 to 100 basis points;
- Free cash flow conversion to remain above 90% of net income;
- Capital expenditure of approximately USD 165M, weighted to the first half as the Pittsburgh R&D campus comes online.

We will provide our usual quarterly updates and remain available to investors and analysts through our investor relations team.

6. Governance

The board comprises ten directors, nine of whom are independent. During the year we welcomed two new directors with deep operating experience in software and in advanced manufacturing. The board met formally eight times and held two extended strategy sessions.

Committees

The audit, compensation, and nominating committees are each composed entirely of independent directors. The audit committee met independently with the external auditor on four occasions and reviewed the effectiveness of internal controls without material exceptions.

Shareholder engagement

We continued our programme of structured shareholder engagement, holding governance-focused meetings with investors representing more than 60% of the share register. Feedback from those conversations was discussed by the full board and is reflected in our updated remuneration framework, which we will put to a shareholder vote at the next annual meeting.

Appendix A: Glossary

Bolt-on acquisition. A smaller acquisition intended to extend an existing business line rather than enter a new one.

Free cash flow. Operating cash flow less capital expenditure.

OEE. Overall equipment effectiveness; a composite measure of availability, performance, and quality used in manufacturing.

Operating margin. Operating income divided by revenue.

Scope 1 and Scope 2 emissions. Direct emissions from owned operations (Scope 1) and indirect emissions from purchased energy (Scope 2), as defined by the Greenhouse Gas Protocol.

Software-attached revenue. Revenue from hardware products sold together with a subscription or recurring software entitlement.